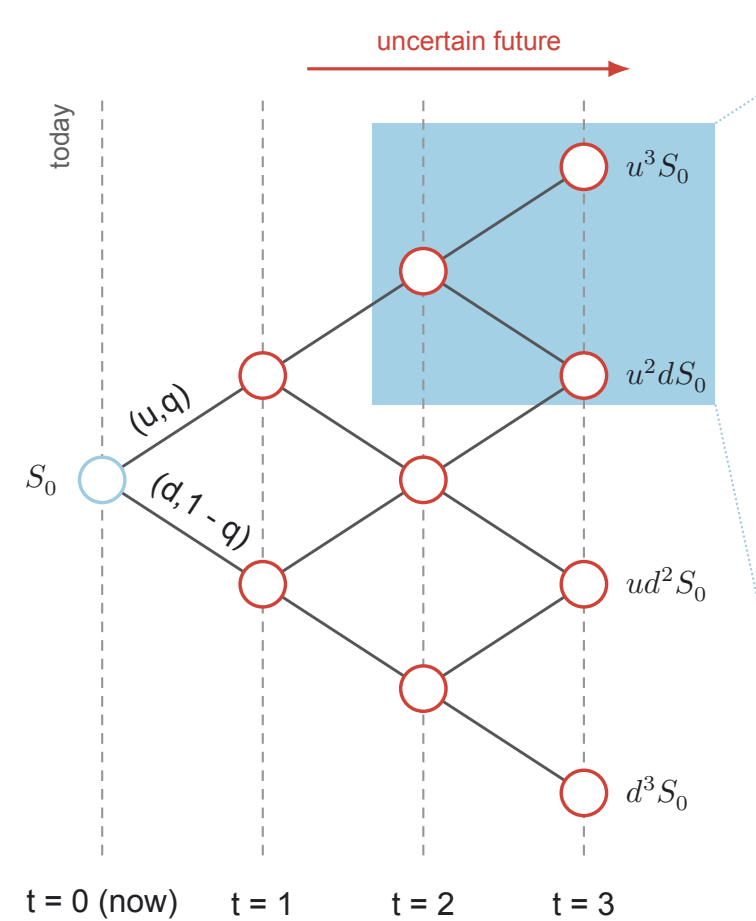
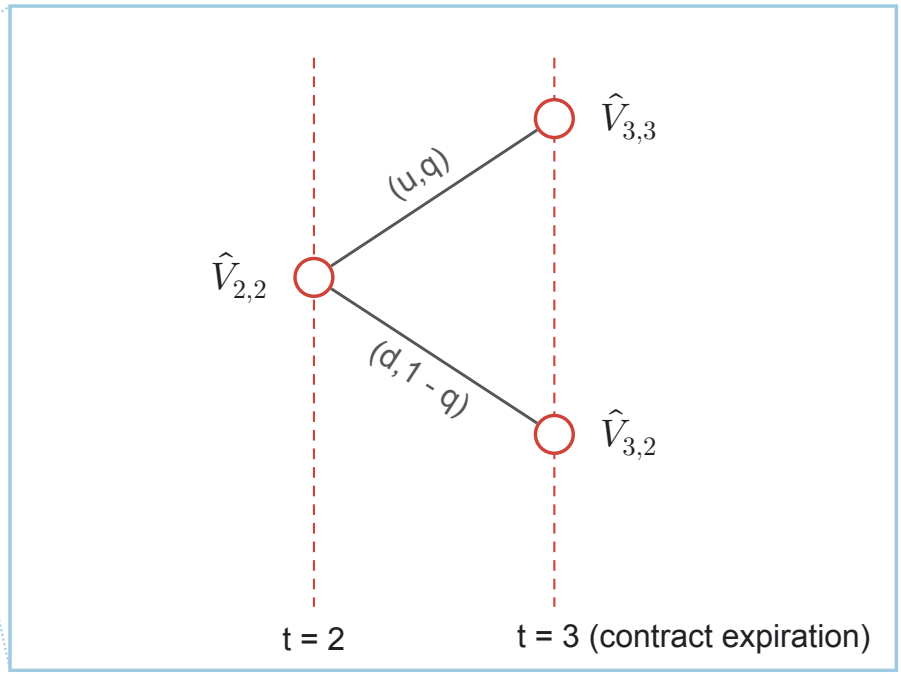


Single decision cell



Decision rule American contract:

$$\hat{V}_{t,k} = \max\left\{ V(K, S_{t,k}) \;,\; \mathcal{D}_{t+1,t}^{-1}(g_y) \cdot \mathbb{E}_{\mathbb{Q}}(\hat{V}_{t+1}) \right\}$$

exercise now

hold for the future